NuScale (SMR): watch / defer

October 19, 2026 | Modeling choices reviewed and adopted

Decision and committee ask

Retain SMR on the watchlist; do not initiate a position on this evidence package. The intended user is a long-horizon, high-risk-tolerance investment committee with no current holding. Request a contract-economics and financing review before any purchase decision. The analysis develops the starting watch/defer thesis; assumptions and limitations are documented below.

What the application establishes

The locally runnable component connects editable commercial assumptions to linked economic statements, FCFF, an enterprise-to-equity bridge, and a funding diagnostic. The analysis boundary is September 1, 2026 close. Historical observations retain their actual measurement dates; pre-valuation cash use is explicitly assumed rather than reported.

Scenario	Conditional DCF/share	Net funding needed	First funding year
Delayed	$0.00	$2,631.7m	2032
Central illustrative	$0.00	$2,608.0m	2031
Stronger execution	$6.77	$42.5m	2030

The $0.00-$6.77 envelope includes an assumed end-2036 operating sale at six times normalized next-year EBITDA after full milestone fees. This is an analyst assumption, not a verified peer or buyer quote. Zero/4x/6x/8x/10x exit sensitivities are included. Zero modeled equity is not proof the stock is worthless; assumed sale proceeds do not establish market value. No probability-weighted target is assigned.

Strongest decision evidence

The contract exhibit requires at least 5% annual milestone-payment escalation and redacts the supplier-price cap [1]. That weakens the earlier flat-fee calculation, which held fees flat. The corrected model applies the escalation floor. Module prices, margins, payment leads, and delivery schedules remain scenario assumptions. Commercial progress alone does not resolve the net economics of a supplier order.

Material sensitivities

The stronger-execution case is the only supplied case with positive modeled equity value. A five-percentage-point module-margin reduction cuts it from $6.77 to $3.34/share and increases net funding from $42.5m to $721.6m. Under the central schedule, the one-input reverse calculation requires about $387m of 2026-base supplier revenue per module to reproduce $9.21 with the assumed operating exit. That is a model hurdle, not evidence of a feasible contract price.

Conditions, monitoring and reversal

Proposed analyst policy: reconsider initiation only with verified binding net contract economics, a quarterly cash plan that maintains a $50m buffer under a 20% operating-cost shock and 12-month delivery delay, and a sourced full valuation at least 25% above the then-current market price. The buffer and 25% hurdle are analyst choices, not covenants or company guidance.

The monitoring policy calls for reviewing each quarterly filing and material contract or financing announcement within five business days of release. Escalate to do-not-initiate if a 12-month funding gap has no supportable financing route or verified net contract contribution is nonpositive. Withdraw valuation claims if sources or ownership cannot reconcile. A cash-model flag is not a default.

WACC, peer context and terminal dependence

The reference CAPM build is 4.75% risk-free + 2.0 beta x 4.14% ERP = 13.03% WACC under all-equity financing. Beta 2.0 is a scenario judgment rather than a measured beta. The original 15% reference remains separate; stronger-case value is $7.68 at 13.03%, versus $6.77 at 15%.

June-balance/September-price peer observations: OKLO EV/Sales 3,409.44x and P/Book 2.18x; BWXT 4.61x and 11.09x. Mechanical SMR gross-award translations are $87.31/$9.99 from OKLO and $4.42/$50.86 from BWXT. These are not a target range: tiny developer sales distort EV/Sales, while mature profitability and accumulated financing distort P/Book. Policy, sources and bridges are in docs/peer-analysis.md and data/peers.json.

The stronger case's PV terminal value is 176.3% of EV, exposing dependence on the assumed exit. Mixed-sign cash flows cause delayed/central monotonicity failures; these are disclosed. WACC-growth grids block 2-3% perpetuities that conflict with the contractual fee floor. No economically supported perpetual-growth base is claimed.

Limits and evidence

The package does not yet verify every intervening filing, reconcile all award and contingent-claim terms, or establish a supportable market exit. Fixed-price dilution is shown separately and is not deducted again from FCFF value; a separate terminal-payoff method values that financing condition. Existing NuScale Lab 11 prediction/results are preserved and mapped. Their original timing/tool-boundary evidence still requires confirmation. See Validation-and-AI-Use for the assistance disclosure, source corrections and validation results.

Sources: [1] SEC PMA, Sections 1(c), 1(d), 1(g): https://www.sec.gov/Archives/edgar/data/1822966/000182296625000144/a101-partnershipmileston.htm [2] Financial source ledger: docs/verified-starting-point-draft.md. [3] Executed analysis: output/commercialization-output.json and report.